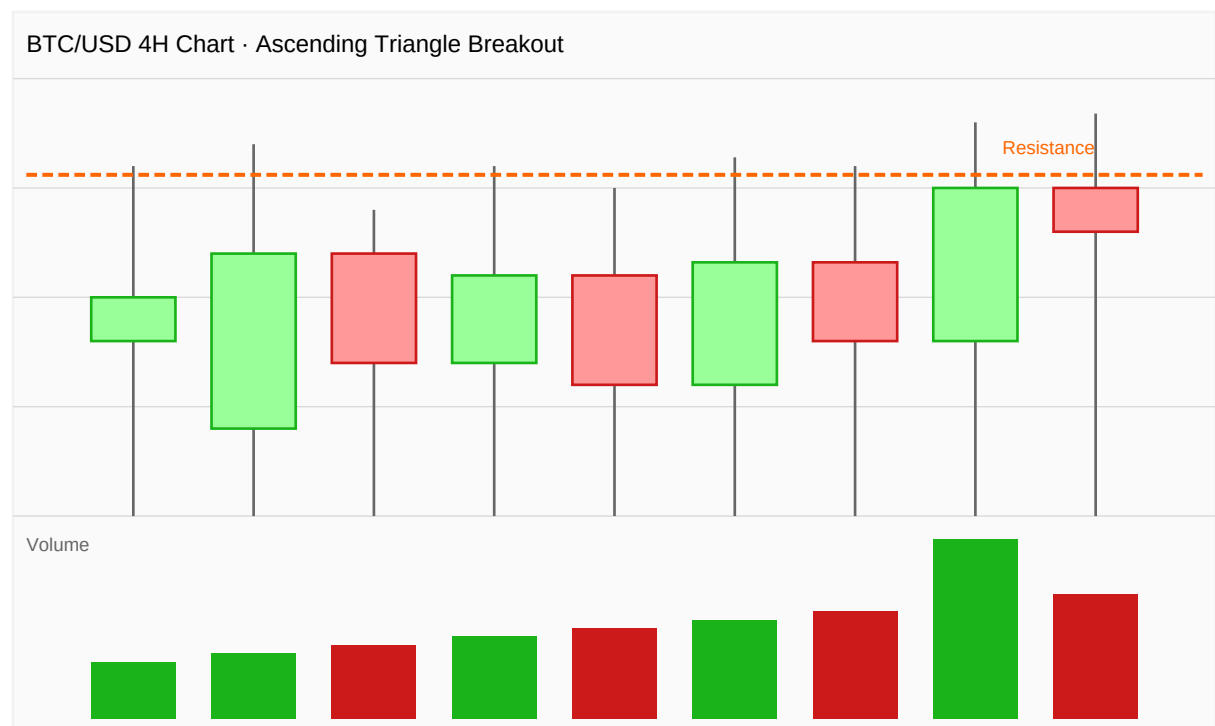


Technical Analysis Masterclass

Chapter 1: Breakout Patterns

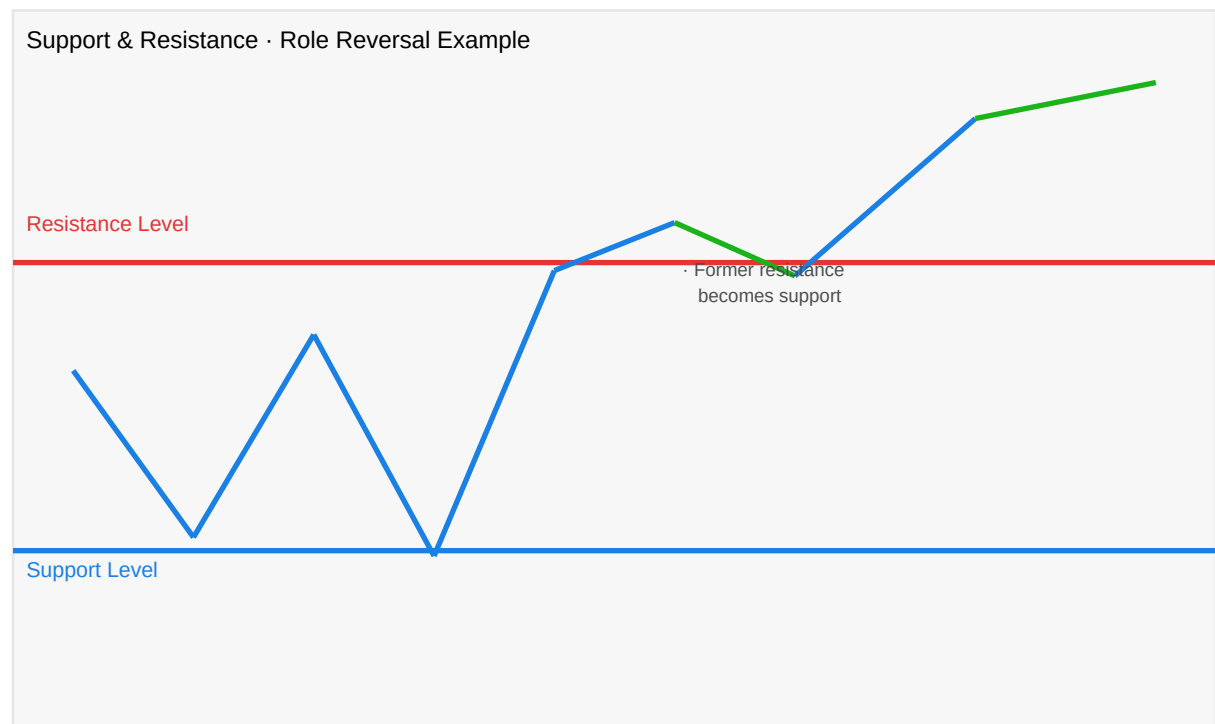
In technical analysis, a breakout occurs when price moves above a resistance level or below a support level. Breakouts are often accompanied by increased volume, which confirms the validity of the move. The chart below demonstrates a classic ascending triangle breakout with volume confirmation.



Notice how the RSI indicator (bottom panel) confirms the breakout by crossing above 60 simultaneously with the price breakout. This dual confirmation increases the probability of a successful trade.

Support and Resistance Levels

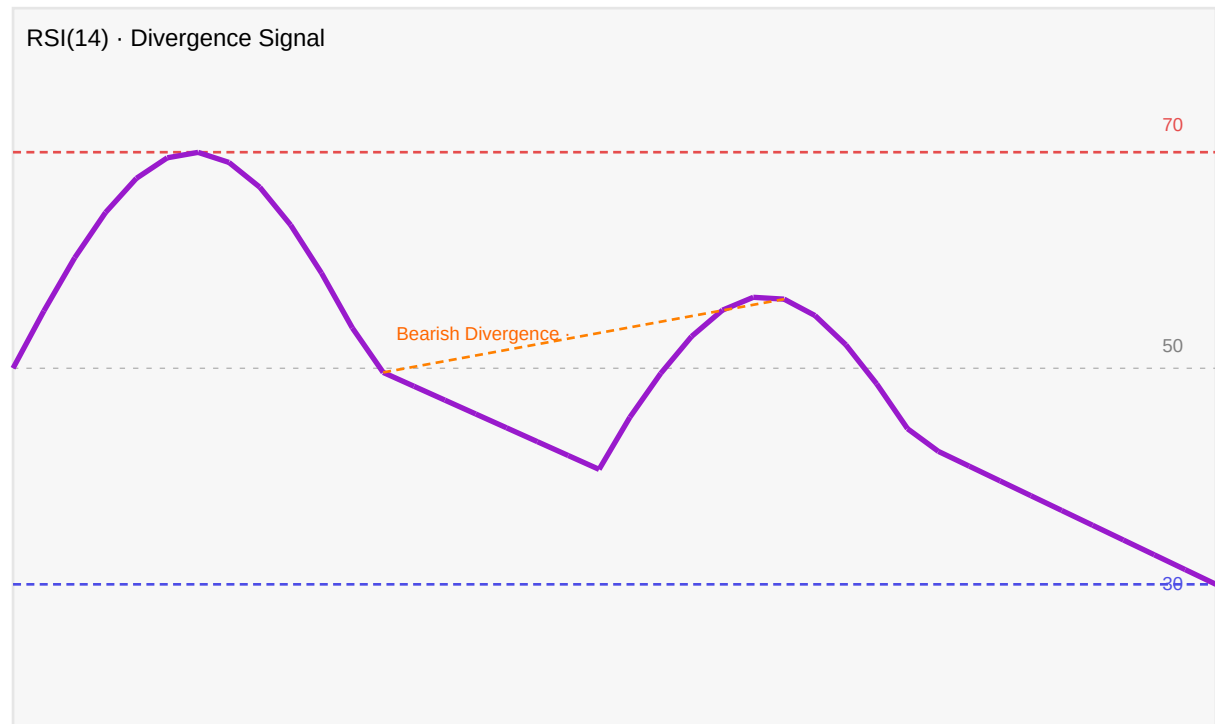
Support and resistance are key price levels where buying or selling pressure historically has been significant. The diagram below shows how these levels act as floors and ceilings for price action.



Key insight: Once a resistance level is broken, it often becomes the new support (role reversal). This is a fundamental concept that traders use to identify re-entry points after a breakout.

The Relative Strength Index (RSI)

RSI is a momentum oscillator that measures the speed and magnitude of price changes. It oscillates between 0 and 100. Readings above 70 indicate overbought conditions, while readings below 30 indicate oversold conditions.



RSI divergence occurs when price makes a new high but RSI makes a lower high. This bearish divergence signals potential trend reversal and is a powerful warning signal for traders holding long positions.